
Introduction to China's Financial System

LECTURE 13: NON-BANK FINANCIAL INTERMEDIATION I

Financial intermediary

- A financial intermediary is an entity that acts as the middleman between two parties in a financial transaction, such as a commercial bank, investment bank, mutual fund, or pension fund.
- Financial intermediaries offer a number of benefits to consumers, including safety, liquidity, and economies of scale involved in banking and asset management.
- ✓ Although in certain areas, such as investing, advances in technology threaten to eliminate the financial intermediary, disintermediation is much less of a threat in areas of finance, including banking and insurance.

Non-bank financial intermediaries

- A non-bank financial intermediary does not accept deposits from the general public. The intermediary may provide factoring, leasing, insurance plans, or other financial services.
- Many intermediaries take part in securities trading and utilize long-term plans for managing and growing their funds.
- ✓ The overall economic stability of a country may be shown through the activities of financial intermediaries and the growth of the financial services industry.

Non-bank financial intermediaries

- Securities companies
 - Insurance companies
- Fund companies
 - Trust companies
 - Others
 - Financial asset management companies
 - Financial leasing companies
 - Finance companies
 - Auto finance companies
 - Emerging finance firms

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Microfinance companies
 Third party wealth management companies
 Comprehensive wealth management services company

SECURITIES COMPANY

Securities companies

- A securities company, also known as a securities broker, is a non-bank financial institution established with the approval of the securities authorities to conduct securities business in the securities market.
- It is a necessary organization for investors and financiers to enter the capital market and engage in stock, bond or fund trading.

The main business of securities companies

- **Brokerage business**
 - it is the main basic business of securities firms.
 - the general investors can not directly enter the stock exchange for trading, only through the chartered securities company as an intermediary to facilitate trading. Investors pay commission to securities firms.
- **Investment banking**
 - the most profitable business for brokerages. Investment banking business consists of two main parts:
 - Sponsor: that is, recommend and guide the company to go public;
 - Underwriting: that is, help the IPO company to sell shares. Securities companies make money by collecting underwriting fees from sponsors, which typically account for 2 to 3 percent of the total capital raised.
- **Asset management business**
 - the client purchases the asset management products of the securities company. The securities company can charge the basic subscription fee and redemption fee. If the performance reaches the level specified in the contract, the performance remuneration can be drawn accordingly.
- **Dealership business**
 - Securities companies use their own funds to trade stocks and bonds, to generate investment income.

Classification of securities companies

- **Comprehensive securities firm:** refers to a securities company that can engage in brokerage, dealership and investment banking business at the same time.
 - Such as CITIC Securities, Huatai Securities, Haitong Securities, etc
- **Brokerage securities firm :** a broker that can only engage in brokerage and dealership business, but cannot engage in investment banking business.
 - Such as Tianyi Securities, Tianhe Securities, Jintong Securities, etc
- ✓ The Securities Law of China clearly defines the classification and management principles of comprehensive securities companies and brokerage securities companies.

Investment banks

- An investment bank is a financial institution that offers advisory, finance and risk management services for projects in the securities market.
 - It is an intermediary between the issuer of securities and the investor of securities.
 - It is a type of financial institution that corresponds to commercial banks.
- Investment banks mainly engaged in securities issuance, underwriting, trading, enterprise restructuring, corporate finance, merger and acquisition, investment analysis, advisory services, venture capital, project financing and other businesses.

Investment banks in China

- In China, there are very few investment banks named after investment banks directly.
- “Investment bank” is the name used in the United States and continental Europe, in the United Kingdom is called the “merchant bank”, in China and Japan refers to the “securities company”.
- China's securities companies are actually the main force in the investment banking segment of the financial intermediary system.

Classification of investment banks

- General classification
 - underwriters: Investment banks that specialize in underwriting securities offerings.
 - brokers: Investment banks that specialize in brokering securities transactions.
 - dealers: investment banks that trade and invest securities themselves.
 - market makers: investment banks that keep trading active by buying and selling their own securities.
- Professional classification
 - Mono-investment bank: an investment bank whose activities are limited to one area. For example, it is limited to underwriting business.
 - Universal investment bank: engaged in diversified investment banking business, and engaged in business outside the traditional investment banking business, such as investment management, mergers and acquisitions, etc.

Roles in the financial market

- ① IBs are the most important intermediaries in the primary capital market.
 - Investment banks become the medium and bridge of direct financing between investors and fund-raiser. They transfer the idle funds from investors to fund-raiser in the shortest time and at the lowest cost, realizing the optimal allocation of funds and resources.
- ② IBs are also important intermediary in the secondary capital market.
 - Investment banks also play an important role in the stock exchange market. On the one hand, it trades securities on behalf of clients, and on the other hand, it can also participate in the trading of securities itself, thus realizing the liquidity of the market and providing a premise for the optimization of resource allocation.
- ③ IBs promote the innovation and development of the capital market.
 - Rational investors require the market to provide financial instruments to avoid risks and obtain returns to the maximum extent. Therefore, investment banks need to take into account the requirements of investors and fund-raisers, and reflect the best combination of profitability, liquidity and risk of funds.
 - With the development and deepening of investment banking business, new financial instruments with different maturities and various functions will inevitably come into being.

The development of China's securities industry

- After more than 30 years of development, the basic framework of China's multi-level capital market has been formed, and the securities industry has experienced exploration and standardization, and gradually entered a new stage of high-quality development.
- The development of securities companies is roughly divided into stages:
 - Embryonic Stage (1980 to 1991)
 - Early establishment and the first clearing regulation (1992-1997)
 - Securities Law and the second comprehensive regulation (1998-2007)
 - Standardized innovation and high-quality development (2008 to 2018)
 - New stage of strong supervision and expanded opening up (2018 to present)

The development of China's securities industry

- Embryonic Stage (1980 to 1991)
- The securities market and securities business were in the initial stage of development, with a small number of securities operating institutions and a narrow scope of business.
 - In 1984, ICBC Shanghai Trust and Investment Co., Ltd. issued a company's shares (Feile Audio 飞乐音响) as an agent.
 - In 1986, Shenyang Trust & Investment Company and ICBC Shanghai Trust & Investment Company took the lead in handling over-the-counter trading business.
 - In 1987, Shenzhen Special Zone Securities Company, China's first professional securities company, was established.
 - In 1988, over-the-counter trading of Treasury bond was officially launched.
 - On August 28, 1991, the Securities Association of China was officially established, which is of great significance for strengthening industry self-regulation and standardizing market order.
- At this stage, securities companies were in the embryonic state with relatively small asset scale.
- Most securities operating institutions were securities business departments under banks or trust and investment companies, with an obvious characteristic of mixed operation.

The development of China's securities industry

■ Early establishment and the first clearing regulation Stage (1992-1997)

- The number of securities firms surge, business expansion and the first comprehensive governance.
 - In 1992, Guotai Securities, Huaxia Securities and Southern Securities were established one after another, which marked the rise of national securities companies. Each province and city established local securities companies.
 - From the second half of 1992, China's economy overheated, many securities companies began to intervene in industrial investment, real estate investment and illegal financing activities.
 - In December 1993, The State Council stipulated that banks and securities should be operated separately, thus leading to the first large-scale reorganization since the establishment of the securities industry.
 - In 1995, China's first Commercial Banking Law was promulgated, which made clear provisions on the mixed operation of banks and securities.
 - In 1997, China's financial system further established the principle of separate operation and management of the banking, securities and insurance industries.
 - In 1998, the supervisory functions of PBOC over securities operating institutions were transferred to the CSRC.
- At this stage, the state's requirement for separate operation of banks and securities promoted the large-scale restructuring of securities industry.
 - More than 760 securities business departments were decoupling from the original parent companies.
 - By the end of 1998, there were 90 securities companies and more than 2400 securities business departments in China.

The development of China's securities industry

■ Securities Law and the second comprehensive regulation (1998-2007)

- In December 1998, China passed the Securities Law to separate the operation and management of the securities industry from the insurance industry, banking industry and trust industry.
- In 1999, the CSRC clarified the requirements for the supervision of securities companies, stipulated the minimum registered capital requirements for securities companies, and also strengthened auditing and supervision. Since then, standardized development has become the main theme of the development of the industry.
- Since 2001, China's capital market has entered a four-year period of adjustment, with the Shanghai and Shenzhen stock markets falling sharply, and new share issuance and refinancing of listed companies becoming more difficult.
 - On August 9, 2002, Anshan Securities became the first securities company to be forced to cancel by the China Securities Regulatory Commission (CSRC) on suspicion of illegally taking public deposits.
 - From the end of 2003 to the first half of 2004, due to the continuous downturn and structural adjustment of the securities market, the securities companies faced the first industrial crisis since its emergence.
- From January 2004, the CSRC launched a comprehensive governance within the securities supervision system.
 - In April 2005, the reform of non-tradable shares was launched. A-share entered the era of "full circulation".
 - In 2007, CSRC reclassified securities companies based on the risk management ability of securities companies and supported high-quality securities companies to grow bigger and stronger.
- At the end of August 2007, the three-year comprehensive governance of securities companies was successful. The situation of four consecutive years of losses in the securities industry was reversed.

The development of China's securities industry

■ Standardized Innovation and high-quality development (2008 to 2018)

- In this stage, the industry stepped into the stage of standardized and innovative development
- A series of regulations and measures expounded the definition of compliance management.
 - In 2009, CSRC issued the Regulations on Classified Supervision of Securities Companies, establishing the framework of classified supervision, and guiding securities companies to highlight their main business and explore their characteristics.
- The business of securities companies is becoming increasingly rich.
 - In 2014, CSRC issued the Opinions on Further Promoting the Innovation and Development of Securities Institutions, which defined the main tasks and measures to promote the innovation and development of securities industry.
 - On the basis of traditional brokerage business, stock underwriting and securities proprietary business, securities companies can carry out quoted price repurchase, contract repurchase, private equity investment, margin lending, stock pledge repurchase and other businesses.
- The connection between China's capital market and overseas market has been further accelerated.
 - In November 2014, the Shanghai-Hong Kong Stock Connect was launched.
 - In December 2016, the Shenzhen-Hong Kong Stock Connect was launched.
 - On July 3, 2017, the "Northbound Bond Connect" was launched, enabling domestic and foreign investors to trade mainland bonds in Hong Kong through the "Northbound Bond Connect".

The development of China's securities industry

■ New stage of strong supervision and expanded opening up (2018 to present)

- The multi-tiered capital market system
 - In July 2019, the reform of the Science and Technology Innovation Board (STAR) and the pilot registration system was implemented, and a number of enterprises with key core technologies were listed on STAR Board.
 - In July 2020, the reform of the New Third Board was further deepened. A new "selection layer" was set up and allowed to transfer to the board for listing. (later became Beijing Stock Exchange in September 2021)
 - In August 2020, the reform of the Growth Enterprise Market (GEM) and the pilot registration system was implemented.
- A new stage of strong supervision and greater opening up.
 - on April 27, 2018, the Guiding Opinions on Regulating the Asset Management Business of Financial Institutions is issued.
 - It established the classification standards for asset management products, clarified requirements for investor suitability management, investment norms, information disclosure, breaking the rigid payment, leverage control, and look-through regulation.
 - on April 28, 2018, the CSRC issued the Measures for the Administration of Foreign-Invested Securities Companies.
 - It explicitly allows foreign investment to control joint venture securities companies, provides legal and regulatory basis for foreign investment to "transfer control from participation", gradually liberalizes the business scope of joint venture securities companies.
- The comprehensive strength of securities companies has been significantly improved.

The development of China's securities industry

- In recent years, the process of "going abroad" of Chinese securities companies has been accelerating.
 - major securities companies set up overseas branches and acquire overseas financial institutions.
- By the end of 2023, there were more than 100 Chinese securities firms in Hong Kong, and large Chinese investment banks have gradually been able to compete with large foreign investment banks.
 - In 2007, there were only four Chinese companies among the top 20 underwriters in terms of underwriting amount.
 - By 2023, there were 11 Chinese companies.
- Chinese investment banks now account for half of the primary market in Hong Kong.

香港中资券商：有的结业，有的大幅减员，也有的持牌人员数量创新高

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明报消息，翻查港交所参与者通告，截至5月3日，今年已有21家券商停止或暂停营业(2023全年32家、过去三年共逾100家券商)，其中包括有国企背景的中资券商东航国际金融(香港)、大地(香港)金融服务。

Current situation of securities companies

On Sep. 6, 2024, the Securities Association of China released showed that there were 146 securities companies in mainland China.

According to the statistical data as of March 2024, among the 107 securities firms (146 companies in total, but 39 subsidiaries were merged into their parent companies), the structural classification is as follows:

- Local state-owned securities firms: 52
- Central state-owned securities firms: 23
- Private (joint-venture) securities firms: 22
- Foreign-funded securities firms: 10

China's Big Four investment banks

- 1. CITIC Securities 中信证券
 - Founded in October 1995, Citic Securities Co., Ltd. was listed on the Shanghai Stock Exchange in 2003 and the Stock Exchange of Hong Kong in 2011. It is the first A+H share listed securities company in China, and the largest shareholder is CITIC Corporation of China.
- 2. CICC (China International Capital Corporation Limited) 中金公司
 - Established in June 1995. It is the first Sino-foreign joint venture investment bank in mainland China and was listed on Hong Kong Stock Exchange on November 9, 2015. Due to its special background, CICC became the largest equity investment bank in China during the period of restructuring of large state-owned enterprises.
- 3. China Merchants Securities 招商证券
 - A securities company under China Merchants Group. After nearly 30 years of development, China Merchants Securities Co., Ltd. has become a first-class securities firm with full license of securities market business in China. It has 259 sales offices in China and subsidiaries in Hong Kong, the United Kingdom, South Korea and Singapore.
- 4. Haitong Securities 海通证券
 - Haitong Securities Co., Ltd. is one of the earliest securities companies in China with the strongest comprehensive strength. It has an integrated business platform, a huge marketing network and a solid customer base.

foreign-funded securities companies

- According to a report by Securities Times in April 2024, the 10 foreign-funded securities companies
 - J.P. Morgan Securities (China) 摩根大通证券
 - Goldman Sachs Gao Hua Securities 高盛高华证券
 - Standard Chartered Securities 渣打证券
 - BNP Paribas Securities 法巴证券
 - UBS Securities 瑞银证券
 - Morgan Stanley Securities (China) 摩根士丹利证券
 - DBS Securities 星展证券
 - Daiwa Securities 大和证券
 - HSBC Qianhai Securities 汇丰前海证券
 - Nomura Orient International Securities 野村东方国际证券

Current situation of securities companies

According to statistics, as of June 30, 2024,

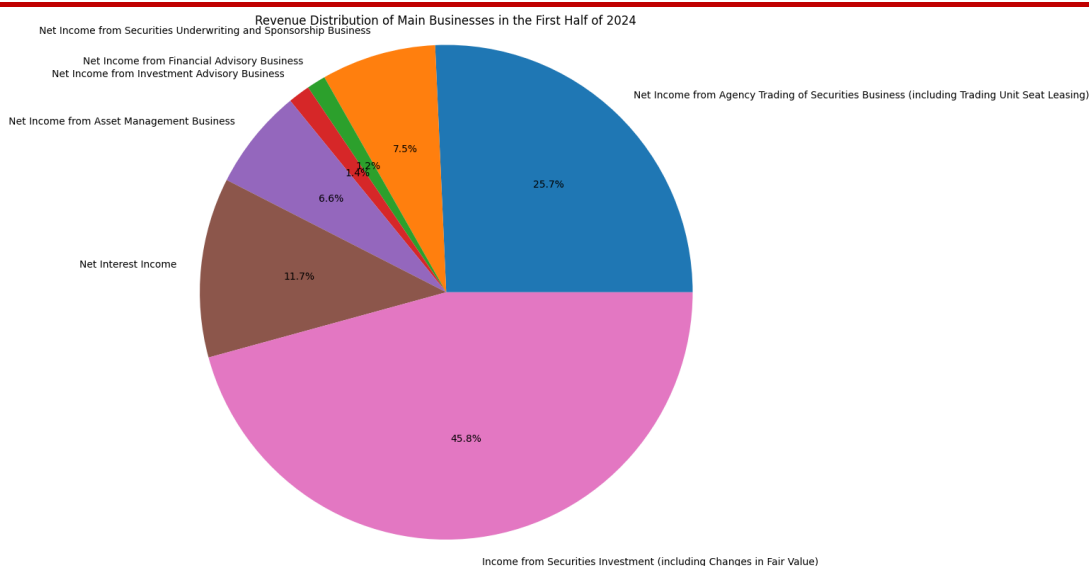
- the total assets of 146 securities companies were 11.75 trillion yuan
 - the net assets: 3.01 trillion yuan
 - the net capital: 2.23 trillion yuan
 - the balance of customers' trading settlement funds (including margin trading funds): 1.83 trillion yuan
 - the total principal amount of entrusted managed funds: 9.27 trillion yuan.

Current situation of securities companies

According to statistics of the Securities Association of China released on Sep. 6, 2024,

- 146 securities companies achieved an operating revenue of 203.316 billion yuan in the first half of 2024.
- The revenues of each main business were as follows:
 - the net income from agency trading of securities business was 46.445 billion yuan,
 - the net income from securities underwriting and sponsorship business was 13.574 billion yuan,
 - the net income from financial advisory business was 2.236 billion yuan,
 - the net income from investment advisory business was 2.591 billion yuan,
 - the net income from asset management business was 11.908 billion yuan,
 - the net interest income was 21.215 billion yuan,
 - the income from securities investment (including changes in fair value) was 82.620 billion yuan;
 - a net profit of 79.990 billion yuan was achieved.

Revenue Distribution of Main Businesses

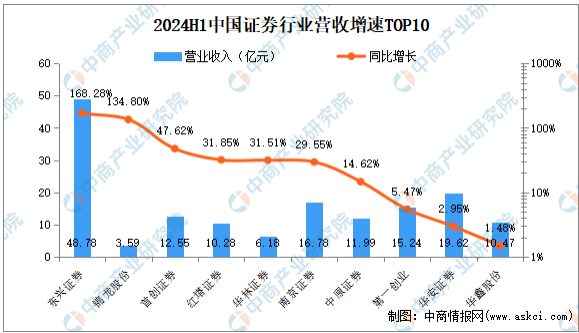


Ranking of investment banks in 2024

2024年上半年证券行业上市公司经营数据							
序号	证券代码	证券简称	营业收入（亿元）	同比增长	净利润（亿元）	同比增长	净利润率
1	600030.SH	中信证券	301.83	-4.18%	105.70	-6.51%	35.02%
2	601688.SH	华泰证券	174.41	-5.05%	53.11	-18.99%	30.45%
3	601881.SH	中国银河	170.86	-1.88%	43.88	-11.16%	25.68%
4	601211.SH	国泰君安	170.70	-6.89%	50.16	-12.64%	29.39%
5	000776.SZ	广发证券	117.78	-11.02%	43.62	-3.88%	37.04%
6	000166.SZ	申万宏源	108.76	-11.14%	21.28	-43.22%	19.57%
7	600999.SH	招商证券	95.95	-11.11%	47.48	0.44%	49.48%
8	601066.SH	中信建投	95.28	-29.24%	28.58	-33.66%	29.99%
9	601995.SH	中金公司	89.11	-28.26%	22.28	-37.43%	25.00%
10	600837.SH	海通证券	88.65	-47.76%	9.53	-75.11%	10.75%

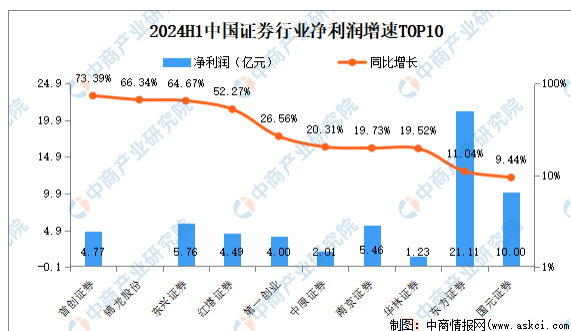
- In the first half of 2024, the 50 listed companies in the securities industry achieved
- the total operating revenue of 246.27 billion yuan, a year-on-year decrease of 208.63%;
 - the total net profit was 68.396 billion yuan, a year-on-year decrease of 1070.23%.

Growth in operating revenue



- In the first half of 2024, among the 50 listed companies in the securities industry,
- 10 companies in China's securities industry with positive growth in operating revenue,
 - 40 companies with negative growth.

Growth in net profit



In the first half of 2024, among the 50 listed companies in the securities industry,

- 13 companies with positive growth in net profit,
- 37 companies with negative growth.

Issues of China's investment banks

- (1) Incomplete Business Structure and Functions
 - **High Concentration of Business:** The business of China's investment banks is mainly concentrated in traditional areas such as securities underwriting and brokerage, while the modern investment banking services such as mergers and acquisitions, asset management, project financing, corporate finance, financial advisory, and asset securitization are insufficient. This leads to a relatively single source of income, with excessive dependence on market conditions.
 - **Insufficient Product Innovation Capability:** China's investment banks are relatively lagging behind in product innovation. On the one hand, innovation is restricted by regulatory policies, market environment, and other factors. On the other hand, there is a lack of motivation and ability to innovate, making it difficult to promptly introduce competitive financial products and services according to client needs and market changes.
- (2) Small Scale and Insufficient Competitiveness
 - **Insufficient Capital:** Compared with large international investment banks, the capital scale of China's investment banks is generally small. With limited capital, when the risks in the primary market increase, their ability to resist risks is weak. Meanwhile, it also restricts the expansion and innovation of business.
 - **Limited Asset Scale:** The small asset scale restricts the operational space of investment banks. They cannot carry out large-scale business and investments like large international investment banks, making it difficult to achieve economies of scale.
- (3) Imperfect Internal Governance and Risk Management
 - **Unsound Internal Governance Structure:** Some investment banks have problems such as an unreasonable equity structure and insufficient functioning of the board of directors, leading to low decision-making efficiency and chaotic internal management, which affects the daily operation and poses potential risks.
 - **Weak Risk Management Capacity:** The risk management system of China's investment banks is not yet perfect. There are deficiencies in risk identification, assessment, and control. There is a lack of effective risk warning and response mechanisms, making it difficult to cope with complex and changeable market risks.
- (4) Narrow Financing Channels
 - **Restrictions of Separate Operation:** China implements a regulatory model of separate operation and management, which is beneficial for preventing financial risks but also restricts the financing channels of investment banks. Investment banks' sources of funds mainly rely on their own funds, short-term borrowing, and client deposits, with significant limitations on the scale and cost of financing.
 - **Imperfect Capital Market:** China's capital market is not yet mature, and the development of the bond market is relatively lagging behind. It is difficult for investment banks to finance by issuing bonds. The limitations of direct financing channels also affect the capital supplement and business expansion of IBs.

Outlook of China's investment banks

- (1) More methods to expand financing scales
 - One is to expand the scale of capital by means of capital increase and share expansion and public listing.
 - The second is to enter the inter-bank lending market, carry out inter-bank lending and Treasury bond repurchase business, and obtain short-term liquidity funds.
 - The third is to borrow from commercial banks and other financial institutions in the form of stock collateral financing to obtain funds.
 - The fourth is to issue financial bonds and use external debt financing to obtain long-term funds.
 - (2) Diversified development with characteristic businesses as the main business.
 - China's investment banks must break through the limitations of traditional business, actively discover market demand, accelerate financial innovation, and promote the transformation of the main business from traditional (securities underwriting, brokerage and proprietary) to innovative (strategic services such as mergers and acquisitions, restructuring) and extended (asset management, financial derivatives trading).
 - (3) To enhance the strength of investment banks by strategic alliances, mergers and acquisitions.
 - First, strategic cooperation with commercial banks. Under the basic pattern of separate operation in China, we should actively explore new areas of cooperation between investment banks and commercial banks, and take advantage of commercial banks' advantages in customers, information and institutional outlets to carry out investment banking business and enhance the market competitiveness of investment banks.
 - Second, we should develop international strategic alliances with international investment banks, improve the business and management level of Chinese investment banks, and enhance their international competitiveness.
 - Thirdly, M&A and restructuring should be carried out based on market mechanism.
 - (4) Comprehensive use of various risk management technologies to improve the risk management.
 - First of all, we should establish and improve a centralized, unified, multi-level and cross-related comprehensive risk management organization system, so as to correctly evaluate risks and effectively avoid risks.
 - Secondly, VAR technology is used to quantitatively manage the risk of investment banking business, that is, risk managers can accurately understand the overall risk exposure and specific risk distribution of the company at any time, and take corresponding measures according to the company's specific tolerance.
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INSURANCE COMPANIES

Insurance

- Insurance is a financial activity dealing with the loss caused by natural disaster or accident.
 - Through signing a contract, the insurance applicant pays a certain insurance premium to the underwriter.
 - When the insurance applicant causes economic loss or personal injury due to natural disaster or accident, the insurer pays the corresponding amount of compensation to the insurance applicant according to the contract.
- Essentially, insurance is a risk management instrument that pays an additional fee to avoid large losses in the future.
- Meaning: It turns an uncertain large loss into a certain small expense, that is, an insurance premium.

Types of insurance

- There are three basic types of insurance:
 - Life and health insurance
 - property and casualty insurance
 - reinsurance (insurance for insurance)

Basic types of insurance - life/health insurance

- The main event covered by a life/health insurance company is a death or health event, where the insurance company promises to provide a lump sum or series of payouts to the policy beneficiary in the event of death or loss of health of the policyholder.
- Life/health insurance companies offer three main types of products
 - life insurance
 - annuity products
 - health insurance.
- Among them, life insurance is paid to the policyholder in a lump sum, while annuity is paid to the policyholder annually after maturity.

Basic types of insurance - property insurance

- Property insurance and casualty insurance (also known as P&C insurance) are types of coverage that help protect a person and the property a person owns.
 - Property insurance helps cover stuff you own like your home or your car or the belongings you place in it.
 - Casualty insurance helps protect you if you're found legally responsible for an accident that causes injuries to another person or damage to another person's belongings.

Basic types of insurance - reinsurance

- Reinsurance, often called “insurance for insurance companies”.
- Reinsurance is insurance that an insurance company purchases from another insurance company to insulate itself (at least in part) from the risk of a major claims event.
- With reinsurance, the company passes on some part of its own insurance liabilities to the other insurance company.
 - The company that purchases the reinsurance policy is called a "ceding company" or "cedent" or "cedant".
 - The company issuing the reinsurance policy is referred to as the "reinsurer".

Insurance companies

- Insurance company: A financial institution that conducts insurance business.
- Basic functions: share risks.
- Operation principle: Separate operation, the Chinese government does not allow an insurance company to operate both life insurance and property insurance.
 - Reason: Different types of insurance have different risks.
 - By Chinese "insurance law" regulation, same underwriter must not concurrently run different kind of insurance business. At the same time stipulate, the fund that insurance company gathers, except be used to settle claim pay outside, the rest is limited to bank deposit, buy and sell government bond, financial bond and securities investment fund only.

Insurance agents and insurance companies

- The person selling insurance is generally not the employee of the insurance company.
- The person selling insurance is actually called the insurance agent.
- The relationship between the insurance agent and the insurance company is generally the entrustment agent.
 - The client entrusts the insurance agent to handle the affairs related to the insurance, and the insurance agent draws some commission in this process.
 - So it is not a direct employment relationship between insurance agents and insurance companies.
- ✓ In October 1992, AIA of US set up a branch in Shanghai and became the first foreign insurance institution in China. It brought insurance agent system to China.

The basic operation of insurance companies

1. Policies and premiums

- A policy is a legal contract in which the policyholder pays a premium and the insurance company promises to pay out a specified amount of insurance money if a specified event occurs in the future.
- When the insurance company accepts the policy, the policy becomes an asset for the holder and a liability for the insurance company.
- The premium may be paid in one lump sum or in tranches.

The basic operation of insurance companies

2. Surplus and reserves

- **Surplus:** The difference between the assets and liabilities of an insurance company, also known as “statutory surplus”.
 - The statutory surplus is the final amount that an insurance company will use to pay policyholders and determines the size of business the company will operate.
- Since the payment does not necessarily occur, the payment commitment of the insurance company becomes the contingent liability of the insurance company.
- In order to properly reflect the contingent liability in the financial statements, the insurance company must set up a reserve account.
 - Unlike a bank's reserve, an insurance company's reserve is simply a provision, an accounting record, which is used for provisioning and is not given to any institution.

The basic operation of insurance companies

3. The determination of profits

- **Revenue minus costs is the profit of an insurance company.**
 - The income of an insurance company:
 - the premium income of the financial year; the other is investment income.
 - The costs of an insurance company:
 - the increase in reserves; the costs associated with selling policies.
 - The profit of an insurance company:
 - underwriting profit, the difference between the premium it receives and the cost of settling claims.
 - investment profit, mainly from the insurance company's investment portfolio income.
- Investment profits are mainly obtained from the investment in the securities market.
- Therefore, insurance companies are increasingly becoming important institutional investors in the securities market.

Investment profits of insurance companies

- For the safety of assets, Chinese insurance companies pay more and more attention to investment income and diversified management.
- China has allowed insurance companies to participate in the investment of funds and stocks, and allowed the establishment of insurance investment funds to directly participate in securities market investment.
- Insurance companies have become important institutional investors in China's securities market.

Why insurance companies in financial system?

- The insurance industry is included in the financial system because of the large amount of premium income. After receiving the huge premium, insurance companies need to make investments. The general practice of all countries in the world is mostly used for various financial investments.
- In China's mutual fund market, there are three giant institutions: social security fund, securities broker, insurance fund.
 - The insurance fund of China's large insurance companies exceeds 24 trillion yuan, among which the scale of equity (stock) investment exceeds 3 trillion yuan, which is almost the most important institution in the mutual fund industry.

The development of China's insurance industry

- 1949 to 1979: China's insurance industry was monopolized by the government exclusively, with the establishment of several state-owned insurance companies such as the People's Insurance Company, China Pacific Insurance Company, China Land Property and Casualty Insurance Company.
 - On October 20, 1949, the People's Insurance Company of China (PICC) was established, which was the only insurance company established in New China.
 - In 1958, the National Financial Conference formally decided to completely suspend domestic insurance business, and only retained a small amount of foreign insurance business to continue to operate. China's insurance business was completely shut down and fell into a period of stagnation for 20 years.

The development of China's insurance industry

- Since the reform and opening up in 1979, the development of China's insurance industry has roughly gone through four stages:
 - Recovery and preparation (1979-1991)
 - Standardization and pilot (1992-2000)
 - Rapid development and WTO entry commitment (2001-2017)
 - Complete opening (2018-now)

The development of China's insurance industry

- Stage of recovery and preparation for opening up (1979-1991)
 - In 1978, CPC Central Committee established the general policy of reform and opening up.
 - In February 1979, the National Branch Governors' Meeting of the People's Bank of China was held in Beijing and decided to resume the insurance business.
 - On November 19, 1979, the National Insurance Work Conference officially resumed the domestic insurance business, which had been suspended for more than 20 years.
 - In 1980, the domestic property insurance business resumed;
 - In 1982, the life insurance business resumed.
 - The number of insurance companies increased from 1 in 1980 to 4 in 1991, and the premium income increased from RMB 460 million in 1980 to RMB 17.824 billion in 1991.
 - Some foreign insurance companies have set up representative offices in China to prepare for entering the Chinese insurance market.

The development of China's insurance industry

- Standardized development and pilot opening stage (1992-2000)
 - In this stage, the number of insurance companies increased from 5 in 1992 to 30 in 2000, and the premium income increased from 21.169 billion yuan in 1992 to 159.59 billion yuan in 2000.
 - Insurance agency companies, insurance brokerage companies and insurance valuation companies have grown from zero.
 - On October 1, 1995, the Insurance Law of the People's Republic of China, the first insurance law since the founding of the People's Republic of China, was formally promulgated.
 - During this period, the insurance industry made many attempts to open up to the outside world.
 - In July 1992, PBOC made Shanghai the first pilot city for China's insurance industry to open to the outside world.
 - In October 1992, AIA of the United States was approved to officially set up a branch in Shanghai, becoming the first foreign insurance institution in China.
 - In July 1994, Tokyo Marine & Fire Insurance Co., Ltd. set up a branch in Shanghai, becoming the first wholly foreign-owned property insurance company in China.
 - In 1996, Manulife of Canada and Sinochem Finance Co., Ltd. set up Zhonghong Life Insurance Co., LTD., becoming the first joint venture life insurance company in China.
 - By 2000, there were 19 foreign-funded insurance companies in China, and another 111 foreign-funded insurance companies had set up more than 200 representative offices in China.

The development of China's insurance industry

- Stage of rapid development and WTO commitment (2001-2017)
 - In November 2001, China formally joined the WTO. The Insurance Law was revised for the third time in 2002, 2009 and 2015 in response to WTO commitments.
 - China began to open up the entry of foreign non-life insurance, life insurance, reinsurance and insurance brokerage companies.
 - During this period, the relevant laws and regulations have been continuously improved, various favorable policies have been introduced, and the opening up has been continuously strengthened.
 - Multiple factors have promoted the domestic insurance industry to enter a period of rapid development:
 - In terms of premium income, it has increased from 210.94 billion yuan to 3.658.101 billion yuan.
 - In terms of the number of insurance companies, it increased from 52 to 219 in 2017.
 - The number of foreign insurance companies increased from 32 to 57 in 2017, including 22 foreign property insurance companies, 28 foreign life insurance companies, 6 foreign reinsurance companies and 1 foreign asset management company.

The development of China's insurance industry

- Stage of full opening (from 2018 to now)
 - In May 2018, China further accelerated the opening up of the financial industry.
 - The shareholding ratio of foreign capital in joint ventures of life insurance companies was relaxed to 51%, and no limit was set after three years.
 - Qualified foreign investment institutions will be allowed to operate insurance agency and valuation business in China, and the business scope of foreign insurance brokerage companies will be the same as that of Chinese companies.
 - By the end of 2018, the requirement for foreign insurance companies to open a representative office for two years before setting up will be completely abolished.
 - On July 20, 2019, the People's Bank of China issued the Measures on Further Opening up of the Financial Industry, allowing overseas insurance companies to enter China to a greater extent.
 - Since January 1, 2020, the limit on the proportion of foreign capital of joint venture insurance companies (referred to as joint venture life insurance companies) engaged in life insurance business has been officially abolished, and the proportion of foreign capital of joint venture life insurance companies can reach 100%.

Current status of China's insurance industry

- By the end of 2023, there were 235 insurance companies in China. Among them, there were 13 insurance groups, 97 life insurance companies, 89 property insurance companies, 13 reinsurance companies and 24 insurance asset management companies.
- Among them, there are state-owned insurance companies and many joint-stock insurance companies, foreign insurance companies, joint venture insurance companies and Internet insurance companies.
 - National insurance companies include PICC (Group) Company, PICC Property Insurance Co., LTD., PICC Life Insurance Co., LTD., PICC Reinsurance Co., LTD., China Pacific Insurance Company, Ping An Insurance Company of China, Huatai Property Insurance Company, Taikang Life Insurance Company and New China Life Insurance Company.
 - Local insurance companies include Xinjiang Corps Insurance Company, Tian'an Insurance Company, Dazhong Insurance Company, Yong'an Property Insurance Company and Hua'an Property Insurance Company, etc.;
 - Foreign and joint venture insurance companies include Hong Kong Minan Insurance Company (Shenzhen), American AIA Insurance Company (Shanghai Branch), American Asia Insurance Company (Guangzhou Branch), Tokyo Marine Insurance Company (Shanghai Branch), Zhongrong Life Insurance Co., LTD and Swiss Fengtai Insurance Company (Shanghai branch), etc.

China's Big Five insurance companies

- Ping An of China中国平安:
 - Ranked 14th in the 2024 Fortune China 500, it had relatively high operating revenue in 2023. According to the 2023 Fortune China 500 list of listed companies, its revenue reached 1.11 trillion yuan (\$1457.59 billion).
- China Life Insurance中国人寿:
 - Ranked 18th in the 2024 Fortune China 500, it has relatively high premium income in the life insurance field, with a huge business scale revenue of \$1396.16 billion.
- People's Insurance Company (Group) of China Limited中国人保:
 - Ranked 45th in the 2024 Fortune China 500, it had the highest insurance service income in 2023, reaching \$781.82 billion.
- China Pacific Insurance (Group) Co., Ltd.中国太保:
 - Ranked 84th in the 2024 Fortune China 500, as a large insurance group, its business covers multiple fields with revenue of \$457.59 billion in 2023.
- Taikang Insurance泰康保险:
 - Ranked 97th in the 2024 Fortune China 500, it has developed well in businesses such as life insurance and health insurance, with revenue of \$394.12 billion in 2023.

Current status of China's insurance industry

- According to the data released by the CBIRC, the total assets of China's insurance industry were 29.96 trillion yuan as of December 2023, about 25% of China's GDP.
- In 2023, the insurance industry achieved
 - a total premium income of 5.12 trillion yuan
 - 1.36 trillion yuan of property insurance premium income
 - 3.76 trillion yuan of life insurance premium income
 - Around 58 billion policies
 - Around 15000 trillion yuan of total insurance value
 - 27.5 trillion yuan of insurance fund balance.
- ✓ China's insurance industry has become the world's second largest insurance market.

Total assets of Chinese insurance industry

Table 1: Total Assets and Growth Rates of Chinese Insurance Companies from 2014 to 2023

Year	Year-end Total Assets (trillion yuan)	Growth Rate
2014	10.16	22.57%
2015	12.36	21.66%
2016	15.12	22.31%
2017	16.75	10.80%
2018	18.33	9.45%
2019	20.56	12.18%
2020	23.3	13.32%
2021	24.89	6.82%
2022	27.15	9.08%
2023	29.96	10.35%

Source: China Insurance, Chaoyao Data朝曜数据

The structure of insurance premium income

Table 2: Premium Income of Different Insurance Types in 2023

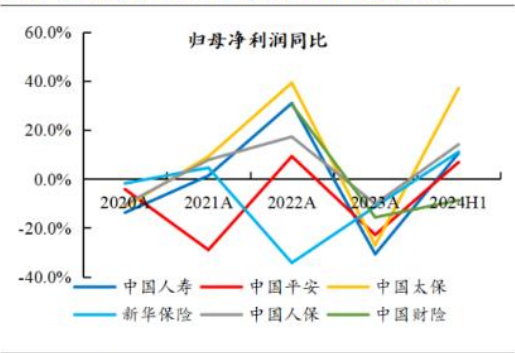
Insurance Type	Premium Income (10,000 yuan)	Proportion of Total Premium
Overall Insurance Industry	51,200	100%
1. Personal Insurance	37,600	73.40%
- Life Insurance	27,600	53.90%
- Health Insurance	7,300	14.20%
- Personal Accident Insurance	2,700	5.30%
2. Property Insurance	13,600	26.60%

Source: “2024 China Insurance Competitiveness Research Report” , Chaoyao Data 朝曜数据

The net profit of insurance companies

- Benefiting from high dividends and the rise in the bond market, the year-on-year net profit of most listed insurance companies has improved significantly in the first half of 2024.

图 4：2024H1 上市险企归母净利润同比明显改善



数据来源：各公司公告、开源证券研究所

Number of insurance intermediaries in China

Year	Insurance Intermediary	Insurance Agent	Insurance Broker	Insurance Assessor
2005	1,790	1,301	269	220
2006	2,110	1,563	303	244
2007	2,331	1,755	332	254
2008	2,445	1,822	350	273
2009	2,570	1,903	378	289
2010	2,550	1,853	392	305
2011	2,554	1,823	416	315
2012	2,581	1,815	436	327
2013	2,528	1,765	438	320
2014	2,546	1,764	445	337
2015	2,510	1,730	447	333
2016	2,603	1,774	469	360
2017	2,610	1,784	487	339
2018	2,647	1,790	499	353
2019	2,642	1,771	496	397
2020	2,640	1,764	497	373
2021	2,610	1,735	493	377
2022	2,592	1,721	494	377
2023	2,566	1,691	494	376

Supervision of insurance companies

- To ensure the safety of insurance industry and the stability of the securities market, China has made restrictive regulations on the investment of insurance companies.
 - 1. The principle of "prudent supervision" has gradually replaced quantitative restrictions.
 - For a long time, the main measures to supervise the investment of insurance funds are quantitative restrictions, such as stipulating the scope of investment of insurance funds, and setting limits on the investment ratios for certain types of investment or assets.
 - The principle of "prudent supervision" emphasizes the diversification of insurance investment, requiring insurance companies to carefully select an investment portfolio that can best diversify risks, pay attention to the control of dynamic investment risks.
 - 2. More attention is paid to the matching of the maturity structure of assets and liabilities.
 - For insurance companies, maintaining the matching of the maturity structure of assets and liabilities is the basic guarantee to ensure the smooth realization of repayment and avoid liquidity crisis. The state requires insurance companies to determine the scope of investable instruments and the corresponding investment proportion based on the principle of reasonable matching of assets and liabilities and risk control.
 - 3. Special investment supervision of derivative financial instruments.
 - China allows insurance companies to use derivative financial instruments for investment and risk control. However, due to the high risks of derivative financial instruments, the regulatory authorities effectively control the investment scale, investment quota and source of funds of derivative financial instruments to avoid excessive risks encountered.

Issues in the Chinese Insurance Industry

- **Serious Homogenization in Products:**
 - The products of many insurance companies are quite similar in terms of the scope of protection, insured amounts, etc. They lack uniqueness and innovation, making it difficult to meet the diverse and personalized needs of different consumers.
- **Poor Service Quality in Claims Settlement:**
 - During the claims settlement process, some insurance companies arbitrarily impose unnecessary restrictions or refuse to fulfill their obligations of paying compensation or insurance benefits as stipulated in the insurance contract.
- **Frequent Changes in Supervision Policies:**
 - The supervision policies for the insurance industry are constantly being strengthened and adjusted. For example, the requirements regarding capital adequacy ratios, solvency, and information disclosure are becoming more stringent, bringing more uncertainties to insurance companies when formulating long-term development strategies.
- **Great Difficulty in Coordination among Regulators:**
 - With the development of financial innovation and mixed operations, the cross-integration of insurance business and other financial businesses is increasing. It is more difficult to coordinate among different regulatory departments.
- **Limited Investment Channels:**
 - Although the investment channels for insurance funds are constantly being broadened, compared with international mature insurance markets, they are still relatively limited, making it difficult to meet the needs of long-term investment of insurance funds.

Trends of China's insurance industry

- **Digital Transformation:**
 - Insurance companies use big data, artificial intelligence and other technologies to carry out risk assessment, customized product design and claims settlement, improve service efficiency and quality, and reduce costs. The trend of online insurance sales and service is obvious, and customers' online shopping behavior is increasing.
- **Product Innovation:**
 - With the change of market demand, insurance companies continue to launch innovative products, such as green insurance, health insurance products for the elderly, and tax-deferred endowment insurance, to meet the personalized needs of customers.
- **Intensified Competition:**
 - The competition among insurance companies is fierce. In order to improve competitiveness, insurance companies focus on improving service quality, optimizing product structure, and strengthening brand building. At the same time, cross-industry competition is also emerging, and some Internet companies and financial institutions have entered the insurance market.